

AGRICULTURE FINANCE

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Murray (in 1953) defined Agricultural Finance as “an economic study of borrowing funds by farmers, the organization and operation of farm lending agencies and of society’s interest in credit for agriculture.

Nature & Scope

Agricultural finance can be **dealt at both micro level and macro level.**

Macro-finance deals with different sources of raising funds for agriculture as a whole in the economy. It is also concerned with the **lending procedure, rules, regulations, monitoring and controlling of different agricultural credit institutions.** Hence macro-finance is related / pertains to financing of agriculture at aggregate level.

Micro-finance

Micro-finance refers to financial management of the individual farm business/units. And it is concerned with the study how the **individual farmer considers various sources of credit, quantum of credit to be borrowed from each source and how** he allocates the same among the alternative uses within the farm. It is also concerned with the future use of funds.

Credit Needs In Agriculture

Agricultural credit is one of the most crucial inputs in all agricultural development programmes **The financial requirements/credit needs of the Indian farmers are meant for**

- **Buying of agricultural inputs like seeds, fertilizers, plant protection chemicals, feed & fodder for cattle etc.**
- **Support their families in those years when the crops have not been good (or) adequate for the purpose**

- **Buying additional land**, to make improvements on the existing land, to pay off old debt and to purchase costly agricultural machinery
- **To increase the farm efficiency** as against limiting resources i.e. hiring of irrigation water lifting devices, labour and machinery

Significance (Or) Importance of Agricultural Finance

Farm finance / Agri. finance assumes vital / significant importance in the agro – socio – economic development of the country both at macro and micro level.

- It is playing a **catalytic role in strengthening the farm business and augmenting / improving the productivity** of scarce resources **Ex: When newly developed potential seeds are combined with purchased inputs like fertilizers & plant protection chemicals in appropriate / requisite proportions will result in higher productivity**
- Use of new technological inputs purchased through **farm finance helps to increase the agricultural Productivity**
- Accretion to / increasing in farm assets and farm supporting **infrastructure provided by large scale financial investment activities result in increased farm income levels** leading to increased standard of living of rural masses.
- Farm finance can also **reduce the regional economic imbalances** and is equally good at reducing the inter-farm asset & wealth variations.
- As Indian agriculture is still of traditional & subsistence in nature, **Agricultural finance is needed to create the supporting infrastructure for adoptions of new technology**
- Massive / huge investment **is needed to carry out major & minor irrigation projects, rural electrification, installation of fertilizer & pesticide plants**, execution of agricultural promotional programmes and poverty alleviation programmes in the country.

Agriculture Credit

Credit (or) loan is certain amount of money provided for certain purpose on certain conditions with some interest, which can be repaid sooner (or) later.

Credit is broadly classified based on various criteria

1. **Based on time - This classification is based on the repayment period of the loan.**

It is sub-divided into 3 types

a. Short-term loans –

These loans are to be **repaid within a period 6 to 18 months. All crop loans are said to be short-term loans, but the length of the repayment period varies according to the duration of crop.** The farmers require this type of credit to meet the expenses of the ongoing agricultural operations on the **farm like sowing, fertilizer application, plant protection measures, payment of wages to casual labourers etc.**

b. Medium – term loans

Here the repayment period varies from 18 months to 5 years. These loans are required by the farmers for bringing about some improvements on his farm by way of **purchasing implements, electric motors, milch cattle, sheep and goat etc.** The relatively longer period of repayment of these loans is due to their partially-liquidating nature.

c. Long – term loans

These loans fall due for repayment over **a long time ranging from 5 years to more than 20 years or even more.** These loans together with medium terms loans are called **investment loans (or) term loans.** These loans are meant for permanent improvements like levelling and reclamation of land, **construction of farm buildings purchase of tractors, rising of orchards etc.** Since these activities require large capital, a longer period is required to repay the loan (or) due to their non - liquidating nature.

2. Based on Purpose - Based on purpose credit is sub-divided in to 4 types

a. Production loans

These **loans refer to the credit given to the farmers for crop production.** These loans are intended to increase the production of crops. **They are also called as seasonal Agri operations (SAO) loans (or) Short – term loans (or) crop loans.** These loans are repayable with **in a period ranging from 6 to 18 months** in lumpsum

b. Investment loans

These are loans given for purchase of equipment whose productivity is distributed over more than one year. Ex: Loans given for tractors, pump sets, tube wells etc.

c. Marketing loans

These loans are meant to help the farmers in overcoming the distress/forced sales and to market the produce in a better way. Regulated markets and commercial banks, based on the ware house receipt are lending the financial assistance in the form of marketing loans by advancing 75% of the value of the produce. These loans help the farmers to clear off their debts and dispose the produce at remunerative prices.

d. Consumption loans

Any loan advanced for some purpose other than production is broadly categorized as consumption loan. These loans are seeming to be unproductive but indirectly assists in more productive use of the crop loans i.e. without diverting then to other purposes. These loans are not very widely advanced and restricted to the areas which are hit by natural calamities. These loans are extended based on group guarantee basin with a maximum of three members. The loan in to be repaid within 5 crop seasons (or) 2.5 years whichever is less. The branch manager is vested with the decretory power of sanctioning these loans up to Rs. 5000 in each individual case. The rate of interest is around 11 per cent.

Source of Agricultural Credit in India

There are two broad sources of agricultural credit in India:

1. Non-Institutional Sources

2. Institutional Sources

Non-Institutional Sources -The non-institutional finance forms an important source of rural credit in India, constituting around 40 percent of total credit in India. The interest charged by the non-institutional lenders is usually very high. The land or other assets are kept as collateral. The important sources of non-institutional credit are

1. **Money-Lenders**: Money-lending has been the widely prevalent profession in the rural areas. The money-lenders charge huge rate of interest and mortgage the

property of the cultivators and in some cases even the peasants and members of his family are kept as collateral.

2. Other Private Sources:

- (a) **Traders, landlords and commission agents:** The agents give credit on the hypothecation of crops which when harvested is used to repay loans.
- (b) **Credit from relatives:** These credits are generally used for meeting personal expenditure.

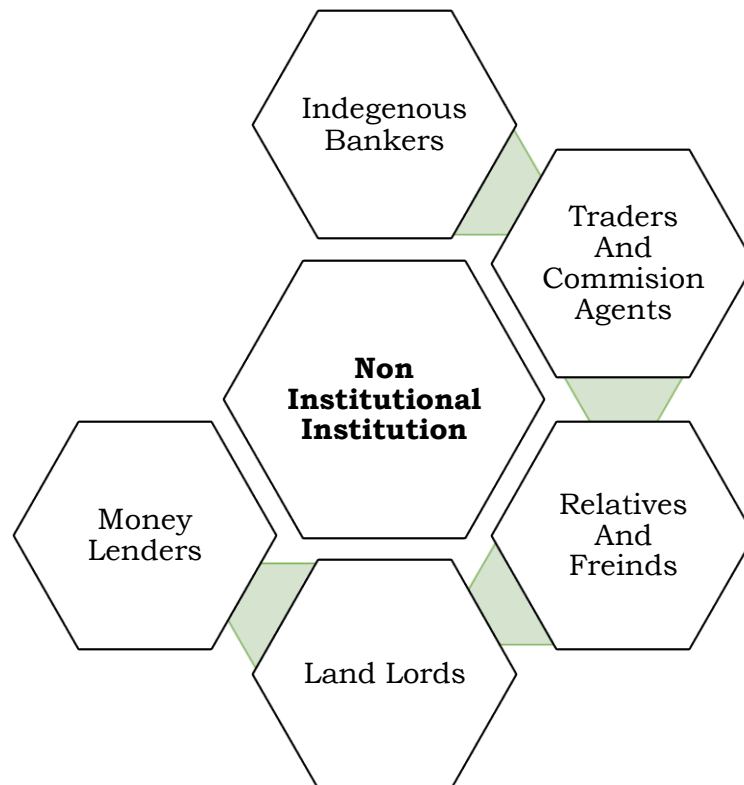


Figure 1 – Non institutional sources

Institutional Sources: National Bank for Agriculture and Rural Development (NABARD) is an apex institution established in 1982 for rural credit in India.

1. Rural Co-Operative Credit Institutions-

Rural Credit cooperatives are the oldest and most extensive form of rural institutional financing in India.

The rural credit cooperatives may be further divided into

Short-Term Credit Cooperatives: The short-term credit cooperatives **provide short-term rural credit** and are based on a three-tier structure as follows

(a) State Co-Operative Banks: At apex level

(b) District Central Cooperative Banks

(c) Primary Agricultural Credit Societies (PACs): Grass root level institutions

Long-term credit Cooperatives: These cooperatives meet long-term credit of the farmers and are organized at two levels:

Primary Agriculture land Development Banks (PALDBS): These banks operate at the village level as an independent unit.

Comprehensive Land Development Banks (CLDBs): These banks operate at state level

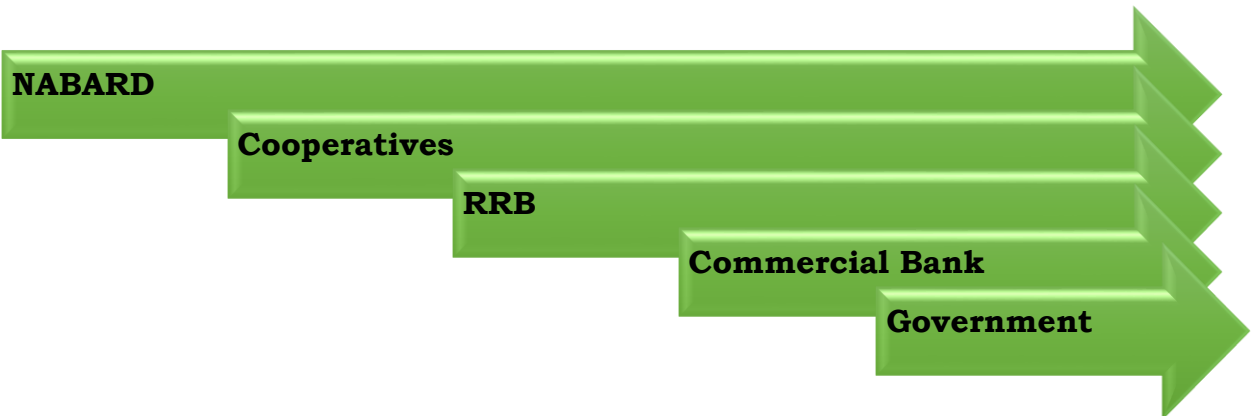
2. Commercial Banks:

Commercial Banks (CBs) provide rural credit by establishing their branches in the rural areas. The share of commercial banks in rural credit was very meagre till 1969

3. Regional Rural Banks (RRBs)

RRBs are the specialized banks established **in 1975 under RRB Act, 1976** to cater to the needs of the rural poor.

- RRBs are set-up as **rural-oriented commercial banks with the low-cost profile of cooperatives** but with the professional discipline and modern outlook of commercial banks.
- RRBs were established based on the **recommendations of Sri. M. Narasimham Committee.**
- **RRBs primarily cover small and marginal farmers, landless labourers,** rural artisans, small traders and other weaker sections of the rural community.



NABARD

Cooperatives

RRB

Commercial Bank

Government

Institutional sources

Commercial Banks

A commercial bank is a **financial institution that grants loans, accepts deposits, and offers basic financial products such as savings accounts and certificates of deposit** to individuals and businesses. It makes money primarily by providing different types of loans to customers and charging interest

Functions of Commercial Banks

The basic role of a commercial bank is to provide financial services to the general public, businesses, and companies.

1. **Accepting Deposits**- Banks accept three types of deposits. – that is saving deposit, current account deposit and fixed deposit.
2. **Advancing Credit Facilities**- Advancing loans is an essential function of banks since it accounts for the highest percentage of revenue earned annually. Banks mostly offer shortterm and medium-term loans from a percentage of the cash deposits at a high interest rate.
3. **Credit Creation**- While granting loans to customers, banks do not provide the loan in cash to the borrower. **Instead, the bank creates a deposit account from which the borrower can draw funds.**
4. **Agency Functions**- Commercial banks serve as agents of their customers by helping them in collecting and paying cheques, dividends, interest warrants, and bills of exchange. *Also, they pay insurance premiums, utility bills, rent, and other charges on behalf of their clients.*
5. **Other Functions**- They provide foreign exchange to clients who are in the import and export business, by buying and selling foreign currency.

Social control and Nationalization of Banks

At the time of Independence, **the private sector banks were predominantly urban-oriented and under the control of a few industrialists, not helped in achieving the**

basic socio-economic objectives. The credit needs of agriculture, small-scale industries and also weaker sections such as small traders and artisans continued to be ignored

All these situations compelled / forced the imposition of social control over the banks in 1968. **The main aim of social control was achieving of wider spread of bank credit to the Priority sectors there by reducing the authority of managing directors in advancing the loans**

The GOI (Govt. of India) on 19th July 1969, promulgated an ordinance called “The Banking companies Ordinance 1969” (Acquisition & Transfer of Undertakings). Under this act 14 commercial banks having deposits of more than 50 crore each were nationalised

The objectives of Nationalisation of Banks

Nationalization of banks was done by the former Prime Minister, Smt. Indira Gandhi were

- **Removal of control on banking business by a few industrialists.**
- **Elimination of the use of bank credit for speculative & Unproductive Purposes.**
- **Expansion of credit to priority areas which were grossly / completely neglected like agriculture & small scale industrial.**
- **Giving a professional bent / touch to the bank management**
- **Encouragement of new entrepreneurs**
- **Provision of adequate training to bank staff**

Encouraged by the success of first spell of banks nationalisation under second spell six more banks in the private sector, having deposits more than Rs.200 crore were nationalised on 15th April 1980.

As a result of two spells of nationalisation of banks, by the end of June, 1992 bank advances towards agriculture sector were 16.2 per cent of total credit as against one per cent by the end of June, 1967.

Amalgamation / merger of commercial banks in India, 2020

After the merger on 01.04.2020 there are only 12 public sector banks (PSBs) in India - six merged banks and six independent public sector banks.

Pradhan Mantri Mudra Yojana (PMMY)

A flagship scheme of Government of India, **was launched on 8th April, 2015 by the Hon'ble Prime Minister "to fund the unfunded"** by bringing such enterprises to the formal financial system and extending affordable credit to them

Objective of the Pradhan Mantri MUDRA Yojana

The objective of this scheme to launch a Micro Units Development and Refinance Agency (MUDRA) Bank to support the entrepreneurs

Eligibility

- **Any Individual, Proprietor, Partner** etc.
- **Engaged in non-farm** and allied to agriculture activities.
- **For starting/extending business activities** such as manufacturing, trading and services & activities allied to agriculture.

Loan Amount

Maximum up to Rs. 10.00 Lakh and 3 categories named as under: -

- 1. Shishu – Loans upto Rs. 50,000/-**
- 2. Kishore– Loans above Rs. 50,000/- to Rs. 5.00 Lakh**
- 3. Tarun – Loans Above Rs. 5.00 lakh to Rs. 10.00 Lakh**

MUDRA Bank

MUDRA stands for Micro Units Development and Refinance Agency. The MUDRA Bank was set up through as statutory enactment. The lending priority will be given to SC/ST enterprises. **The bank has been allotted a Refinance Fund of Rs. 20,000 Crores from the shortfalls of Priority Sector Lending.** It will regulate and refinance all MFI who lend to MSME engaged in small manufacturing, trade or services. **It will partner all state/regional level coordinators to provide easy finance to even the remote investors.**

The primary functions of MUDRA Bank are

Frame policy guidelines for micro/small enterprise MFIs

- **Registration of MFIs**
- **Regulation of MFIs**
- **Promoting and regulating responsible finance in favour of client welfare**, remove indebtedness and provide proper protection principles and recovery methods.
- **Accreditation and rating of MFIs**
- **Promoting right technology solutions** for problems faced by MFIs and borrowers.
- **Framing a robust architecture for Last Mile Credit Delivery** to MSMEs under the umbrella of Pradhan Mantri Mudra Yojana.

The MUDRA Bank was a powerful step to provide refinance to last mile financiers and borrowers. However, **it may promote shadow banking and channelize MFIs away from the mainstream banking system.** This may stand juxtapose to the global trend which discourages shadow banking and let the main-line banking system address financing needs of all segments of society.

Micro-Finance in India

Microfinance: Is the provision of **savings accounts, loans, insurance, money transfers and other banking services to customers that lack access to traditional** financial services, usually because of poverty.

Status of Micro finance

Micro-finance is an **important tool in an economy like India where a million new workers are added to workforce every month especially in small businesses.** These businesses comprise about 5% of the economy. The performance of India's microfinance institutions is quite dismal. These institutions **do not give loans beyond Rs.50,000 to a single person and the average amount given per account by Non-banking Financial Institution-Micro-finance institutions is Rs. 16,194.** This figure is far below the funding **requirements of first-generation** small entrepreneurs who are looking for amounts up to a few lakhs. India already has agencies which are involved in microfinance system.

Participants in the Microfinance System

National Housing Bank: It was set up in **1988 to refinance** home loans and regulate housing finance companies

National Bank for Agriculture and Rural Development: It was set-up in **1982** by a law to regulate credit support, institutional development and encourage innovative initiatives in rural sector. **It also promotes sustainable agricultural practices.**

Small Industries Development Bank of India: It was set-up in **1990 to promote, finance and develop small and medium enterprises** and provide them easy finance up to a **limit of Rs. 1 Crore**

Self Help Groups (SHGs): Self-help groups or support groups are groups of people who can provide mutual support for each other. **SHGs are informal groups of people who come together to address their common problem.**

Micro-finance Institutions (MFI): A microfinance institution is **an organization that offers financial services to low-income populations.** Almost all give loans to their members, and many offer insurance, deposit and other services.

Non-Government Organizations (NGOs): Non-governmental Organisations **are playing a vital role in the formation of Self-Help Groups and motivating women to join in Self-Help Groups.** Nongovernmental Organisations in India were responsible for converting the pilot programme of Self-Help Groups into a mass movement in our country.

Micro credit

Making **small loans to individuals who lack the necessary resources to secure** traditional credit is known as microcredit.

Difference of Microfinance and microcredit

Characteristics of loan	Micro -finance	Micro- credit
Size of loan	Small	Small
Repayment of period	Short	Short
Sources of mobilization	Both external and internal	External
Repayment	Obligation if source external	Definite obligation to repay
Collateral	Not needed	May or may not be needed

Purpose of use	Flexible, consumption, income generation	Mostly fixed, limited scope for deviation
Scope of operation	Mostly group loans trickling down to individuals	Usually individual loans, though group loans might be given

Non-Banking Financial Company (NBFC)

A NBFC is a company registered under the Companies Act, 1956 of India, engaged in the business of loans and advances, acquisition of shares, stock, bonds hire-purchase, insurance business or chit business but does not include any institution whose principal business includes agriculture, industrial activity or the sale, purchase or construction of immovable property.

Difference between NBFCs and Banks

NBFCs perform functions similar to that of banks but there are a few differences-

- Provides **Banking services to People without holding a Bank license**,
- An NBFC **cannot accept Demand Deposits**,
- An **NBFC is not a part of the payment** and settlement system and as such,
- An NBFC **cannot issue Cheques drawn on itself**, and
- **Deposit insurance facility of the Deposit Insurance and Credit Guarantee Corporation** is not available for NBFC depositors, unlike banks,
- An **NBFC is not required to maintain Reserve Ratios** (CRR, SLR etc.)
- An **NBFC cannot indulge primarily in agricultural, industrial activity, sale purchase, construction of Immovable Property**
- **Foreign Investment allowed up to 100%.**

Financial Inclusion

Is the process of ensuring access **to appropriate financial products and services needed by vulnerable groups such as weaker sections and low-income groups** at an affordable cost in a fair and transparent manner by mainstream Institutional players.

Reasons Financial Inclusion in India is Important:

Financial inclusion of the unbanked **masses is a critical step that requires political will, bureaucratic support and constant pressure by the RBI**. It is expected to unleash the hugely untapped potential of the bottom-of pyramid section of Indian economy

Benefits Of Financial Inclusion

- The **rural masses will get access to banking like cash receipts**, cash payments, balance enquiry and statement of account can be completed using fingerprint authentication. The confidence of fulfilment is provided by issuing an online receipt to the customer.
- It **inculcates the habit to save, thus increasing capital formation** in the country and giving it an economic boost.
- It **inculcates the habit to save, thus increasing capital formation** in the country and giving it an economic boost.
- **Direct cash transfers to beneficiary bank accounts**, instead of physical cash payments against subsidies will become possible. This also ensures that the funds actually reach the intended recipients instead of being siphoned off along the way.
- **Availability of adequate and transparent credit from formal banking channels will foster the entrepreneurial spirit** of the masses to increase output and prosperity in the countryside.

Hence, it **is believed that financial inclusion can initiate the next revolution of growth and prosperity. In the 21st century**, India has been pulling all the right levers to advance financial inclusion and economic citizenship by channelling its own transactions to lubricate the system. **India's journey towards economic growth relies on how the 65% unbanked population of India** (conservative 2012 estimate by World Bank) is enabled with financial infrastructure.

Lead Bank Scheme

Origin: The study group appointed by **National Credit Council (NCC) in 1969 under the chairmanship of prof. D.R. Gadgil** recommended **“Service Area Approach”** for the development of financial structure.

In the same year i.e., 1969, RBI appointed Sri. F.K.F Nariman committee to the examine recommendations of prof. Gadgil's study group. The committee of Nariman also endorsed / supported views of the Gadgil committee on "Service Area Approach" and recommended the formulation of "Lead Bank Scheme". **The RBI accepted the Nariman's committee recommendations and Lead Bank scheme came in to force from 1969.**

Under lead bank scheme, specific districts are allotted to each bank, which would take the lead role in identifying the potential areas for banking and expanding credit facilities.

Lead bank is the leading bank among the commercial banks in a district i.e. having maximum number of bank branches in the district. **Lead bank acts as a consortium leader for coordinating the efforts of all credit institutions** in each allotted district for the development of banking and expansion of credit facilities.

The activities of lead bank can be dealt under two important

Phases Phase I:

The RBI has mentioned the following functions of lead bank under phase-I

- **Surveying the Potential areas** for banking in the district.
- **Identifying the business establishments** which are so far dependent on non – institutional agencies for credit and financing them so as to rise their income
- **Examining the available marketing facilities** for agricultural & industrial products and linking credit with marketing.
- **Invoking / developing cooperation among different banks** in opening new bank branches
- **Estimating the credit gaps** in various sectors of district economy.
- **Developing contacts and maintaining liaison / linkage** with the Govt & other agencies

Phase II-Preparation of credit Plans

RBI emphasized that the lead bank should

- **Formulate the bankable / dependable loaning schemes** involving intensive use of labour, so as to generate additional employment.
- **Disburse loans to increase the productivity of land in Agriculture** and allied activities, so as to increase the income level.

- **Give maximum credit to weaker sections** of the society mainly for productive purposes

Therefore, lead bank scheme expects the banker to become an important participant in the developmental process in the area of his operation in rural areas, and the service area approach put the banker in the position of implementing the development plans

Regional Rural Banks (RRBs)

All India Rural Credit Review Committee (AIRCRC) under chairmanship of Sri. B. Venkatappa during the year 1969 was of the opinion that over large parts of the country the marginal and small farmers were deprived of having access to the cooperative credit both for production and investment purposes. **This stressed the establishment of institutional financial agencies under public sector.** Consequently, first spell of nationalization of banks was done with greater expectations, but the situation was not changing as per the expectations.

Hence, the Government of India (GoI) appointed a working Committee under the chairmanship of Sri. M. Narasimham to study the financial assistance rendered to the weaker sections in the rural areas. This working committee recommended the setting up of rural based **institutional agencies called “Regional Rural Banks” after identifying shortcomings/limitations in the functioning of commercial banks/cooperatives.**

The GOI accepted the recommendations of the Sri. Narsimham committee and Regional Rural Banks came in to existence through Regional Rural Banks Ordinance on 26th September, 1975. Initially only 5 RRB's were setup on pilot basis with sponsorship of commercial banks on October 2nd, 1975. This ordinance of 1975 was replaced by the Regional Rural Banks Act, 1976.

The objectives/ functions of RRB's are:

- **To develop rural economy.**
- **To provide credit for agriculture** and allied activities.
- **To encourage small scale industries**, artisans in villages.

- **To reduce the dependence of weaker sections** (MF, SF & Rural artisans) on private money lenders.
- To **fill the gap created by the moratorium/ban on borrowings** from private money lenders.
- **To make backward and tribal areas economically better** by opening new bank branches.
- To **help the financially poor people** in their consumption needs

Each RRB is being sponsored by a scheduled commercial bank. The operational area of each **RRB is one (or) two districts.** Each branch of **RRB can serve a population of roughly 20,00,0 people.**

Authorized share capital of each RRB is Rs. One crore, contributed by central government, state government and sponsoring commercial bank in the ratio of 50:15:35. Issued capital for each RRB is Rs. 25 lakhs

The rate of interest charged by RRB's on the loans is same as that of Primary Agriculture Credit Societies (PACS). But they are allowed to offer 0.5 per cent interest more than that of commercial banks on its deposits.

RRB's have simplified procedural **formalities in giving agricultural finance on recommendations of Sri. Baldev Singh's working group.** RRB's use local languages in their transactions. The cost of operation i.e. user charges are low as compared to that of commercial banks.

Crop Loan System

Even though All India Rural Credit Survey Committee (AIRCSC) under the chairmanship of **Sri. Gorwala during 1954 and V.L. Mehra Committee** on Co-operative credit in 1960 recommended the adoption of crop loan system in all states, it was not implemented due to several reasons. **After a lapse/gap of five years i.e. in the year 1965 it was introduced throughout the country and in Andhra Pradesh from Karif, 1966.**

The twin objectives of crop loan system are

- 1. Treating the crop as security instead of immovable property** like land.
- 2. Fixing the scale of finance depending upon** the actual farm expenditure i.e. based on cost of cultivation.

Salient features of the crop loan system

- The **credit requirements of the farmers are to be estimated based on the cost of cultivation of the crops** cultivated by him.
- The **eligibility to receive the loan by farmer is not measured by the ownership** of land but by the factor that he is a real farmer who needs credit for cultivation.
- The **crop loans should be advanced on the hypothecation of the crop**
- The **disbursement and recovery of the loans are to be made in accordance** with the crop production schedule.
- **The quantum of loan should be fixed according to the variety** (i.e. local improved variety (or) HYV) the season in which it is grown and the type of crop i.e. whether it is irrigated (or) rainfed crop.
- **Crop loan is fixed by the District Level Technical Committee (DLTC)** consisting of experts from the fields of agriculture, animal husbandry, banking etc.

Scale of Finance (SoF)

Definition: It is an **indicative cost taken as base cost depending on which the amount to be financed to a farmer is fixed**. It is usually taken as **80 per cent of cost of cultivation** of a particular crop during a particular season.

Normally scale of finance is given as a range, as the cost of cultivation for a farmer practicing traditional methods of farming and that of a progressive farmer practicing modern methods of cultivation will differ. The lower value of the range corresponds to the requirement of the former while the upper value corresponds to the later

Scale of finance is fixed for annual, perennial crops and livestock also. Livestock will have fixed costs of finance and they are termed as unit costs. The unit varies with the type of livestock.

Ex: for milch cattle the unit refers to two animals, for sheep & goat a minimum of 10 animals and for poultry a minimum of 500 birds.

Factors influencing / affecting the scale of finance

1. **Type of the crop:** It varies from crop to crop
2. **Nature of the crop**-With in the same crop between the **local improved varieties and high yielding varieties (HYVs) the scale of finance will differ**.
3. **Season:** Scale of finance will differ with season for the same crop.

4. **Type of land**: Based on the type of the land i.e. **irrigated** (or) dry the scale of finance will differ with the same crop. Ex: For chillies Scale of finance in irrigated land is Rs.17000-19000/- and in dry land Rs. 10000-12000/-
5. **District/Area**: For the same crop the scale of finance varies from district to district.

How Scale of Finance is fixed

Scale of finance for prime crops of each district is fixed by a committee known as District Level Technical Committee (DLTC)

The members of DLTC constitute representatives of lead bank of that district, NABARD, local co-operative banks and commercial banks, officials of Department of Agriculture & Animal Husbandry etc. The meetings of DLTC are chaired by District

DLTC compiles technical survey report with the information obtained from NABARD. NABARD in turn obtains information from the state agricultural department every year, which will have the necessary details like what are crops grown, their extent etc.

Finally cost of cultivation is estimated based on the market trends and needs. This scale of finance is not fixed and keeps on changing every year, accordingly scale of finance also changes.

Kisan Credit Card (KCC)

The Government of India introduced Kisan Credit Card Scheme by banks during 1998 -99. The scheme was designed by NABARD.

KCC aims at adequate and timely support from the banking system to the farmers for their short-term production credit needs in cultivation of crops, purchase of inputs etc in a flexible and cost-effective manner.

Under this scheme farmers would be issued a credit card-cum pass book incorporating the name, address, particulars of land holding, borrowing limit, validity period etc & it will serve both as an identity card as well as facilitates the financial transactions.

Credit limit / borrowing limit on the card may be fixed on the basis of operational holding, cropping pattern and scale of finance as recommended by the District Level Technical committee (DLTC) / State Level Technical committee (SLTC)

The KCC should normally valid up to 5 years and subject to annual review. The KCC will be deemed / considered as a non-performing asset (NPA) if it remains inoperative for a period of two successive crop seasons.

Higher Financing institutions

Reserve Bank of India

The Reserve Bank of India (RBI) was established in 1935 under the Reserve Bank of India Act, 1934. Its Head Quarters is located at Mumbai

The RBI was set up to

- **Regulate the issue of bank notes**
- Secure **monetary stability** in the country
- **Operate currency and credit system** to its advantage

Function's role of RBI in agricultural development and finance

The role of RBI in agricultural credit was found in the establishment of Agricultural Credit Department (ACD)

The primary functions of ACD are

- To **Coordinate the functions of RBI with other banks** and state cooperative Banks **in respect of agricultural credit**
- To **maintain expert staff to study all the questions of agricultural credit and be available for consultation by central government**, state governments, schedules commercial banks and state cooperative Banks.

- **To provide legislations to check private money lending** and checking other malpractices.

All India Rural Credit Survey Committee (AIRCSC) under the chairmanship of Sri. Gorwala in 1954 suggested several recommendations with regard to the activities of RBI in the sphere of rural credit.

Based on these two funds were established after amending RBI act, 1934

1. National Agricultural credit (Long-term operations) fund-1955

Started with initial capital **of Rs.10 crores and annual contribution of Rs.5 crores** and **later this was increased to Rs. 15 crores**. This fund was meant to **provide long-term loans to various state governments so as to enable them to contribute to the share capital of different types of cooperative societies including Land Mortgage Banks (LMB's)**. Loans and advances out of this fund are made to state governments for period **not exceeding 20 years**.

2. National Agricultural credit (Stabilization fund)-1956

Started with RBI's initial contribution of Rs. 1 crore and subsequent annual contribution of Rs. 1crore. This fund is utilized for the purpose of granting medium-term loans to State Co-operative Banks (SCB's), especially during the times of famines / drought and other natural calamities when they are unable to repay their loans to RBI.

The state and central cooperative banks and PACS in turn provide a similar facility to the farmer borrowers regarding short-term production loans taken for crops affected by the natural calamities. This helps the farmers in getting additional finance at the same time reducing their burden of repaying the loans immediately.

National Bank for Agricultural and Rural Development (NABARD)

Agriculture Refinance and Development Corporation (ARDC) had not made an expected dent / impact in the field of direct financing and delivery of rural credit against the massive credit demand for rural development. As a result, many committees and commissions were constituted like,

- Banking commission in 1972

- National Commission on Agriculture (NCA) in 1976

Committee to Review Arrangements for Institutional Credit in Agricultural and Rural Development (CRAFICARD) in 1979. This CRAFTICARD, under the chairmanship of **Sri. B. Sivaraman, a farmer member of planning commission recommended the setting up of a national level institution called NABARD** for providing all types of production and investment credit for agriculture and rural development. As a result of CRAFTICARD'S recommendations NABARD came into existence on July 12th, 1982.

The than existing national level institutions such as Agricultural Refinance and Development corporation (ARDC), **Agricultural credit Dept (ACD) and Rural Planning and Credit Cell (RPCC) of RBI were merged with NABARD with a Share capital of Rs.500 crore equally contributed by Government of India and RBI.** NABARD operates through its **Head Office at Mumbai and 17 regional offices-one each in major states, 10 sub-offices in smaller states / U. T'S and 213 district offices.**

Board of Management

Central Government in consultation with RBI appoints all the directors in the “Board of Management” along with the chairman and the Managing Director (MD). **The M.D. is the chief executive officer (C.E.O) of NABARD and he is primarily responsible for the various operations of the bank.** Apart from M.D & Chairman, the Board of Management consists of 13 other directors and these directors will act as “Advisory council” of NABARD consist of the 13 directors of Advisory council

- 2 are experts in Rural Economics & Rural Development.
- 3 are representatives of co- operatives
- 3 are representatives of commercial banks
- 3 are the officials of Government of India
- 2 officials belong to State Governments

Sources Of Funds

Authorized share capital of NABARD is Rs. 500 crores equally contributed by Government of India and RBI. **Issued and paid-up capital of Rs. 100 crores.**

Other sources are:

- **Borrowings from Government of India (GOI)** and any institution approved by GOI
- **Borrowings from RBI**
- **Deposits from state Govts & local authorities**
- **Gifts & grants received**

Objectives

- As an apex refinancing institution, **NABARD survey & estimate all types of credit needed for the farm sector and rural development**
- **Responsibility of promoting and integrating rural development** activities through refinance
- **With the approval of Govt. of India, NABARD also provide direct credit to any institution or organization or an individual**
- **Maintaining close links with RBI for guidance** and assistance in financial matters
- To **act as an effective catalytic agent for rural development** i.e in formulating appropriate rural development plans and policies.

Functions/activities of NABARD

The functions / activities of NABARD are of 3 broad categories

- a) **Credit activities**
- b) **Development activities**
- c) **Regulatory activities**

a) Credit activities

NABARD prepares for each district a potential liked credit plan annually and this forms the basis for district credit plan.

- It participates in **finalization of annual action plan at block, district and state level.**
- It **monitors the implementation of credit plans.**
- It **frames the terms and conditions to be followed** by credit institutions in financing rural farm and non- farm sectors.

It provides refinance facilities. Refinance is of two types

- 1. Short-term refinance is extended for Agricultural production operations and marketing of crops by farmers & farmers cooperatives,** marketing and distribution of inputs like fertilizers, seeds, pesticides etc. and production and marketing activities of village and cottage industries. **The eligible institutions for S.T refinance are state Cooperative Banks (SCB's), Regional Rural Banks, Commercial Banks and other banks approved by RBI. The time period is 12 months.**
- 2. Medium term & long-term refinance is extended for investments in agriculture and allied activities such as minor irrigation,** farm mechanization, dairy, horticulture, for investment activities of rural artisans, small scale industries (SSI) etc. **The period is up to a maximum of 15 years. The eligible institutions are Land Development Banks (LDB's).**

The extent of refinance under various schemes is

- Pilot rainfed farming projects (100%)
- Wasteland development scheme of individuals (100%)
- Non-farm sector schemes (outside the purview of IRDP) 100%
- Argo-Processing units (75%)
- Bio-gas Scheme (75%)
- All other schemes including IRDP (70%)
- Farm mechanization (50%)
- Rural Electrification Corporation (50%)
- Apart from refinance, NABARD also provides direct finance to state governments, state sponsored corporations.

NABARD will monitor its assisted project in order to ensure their proper implementation. It also undertakes consultancy work for projects even though they are not refinanced by NABARD.

b) Development activities

- **Institutional Development:** Providing financial assistance for establishment and development of institutional financial agencies.

- **Research and Development Fund**: Providing funds for research and development efforts of institutional financial agencies.
- **Agricultural & Rural Enterprises Incubation Fund (AREIF)**: For providing assistance while inception of new enterprises.
- **Rural Promotion Corpus Fund (RPCF)**: It is meant to **provide financial assistance for training cum production centres, rural entrepreneurship** development programmes, and technical monitoring & evaluation centres.
- **Credit and Financial Services Fund (CFSF)**: It aims at **providing the assistance for innovations in rural banking and credit system, supports** institutions for research activities, surveys, meets etc
- **Linking SHG'S to Credit institutions**: During the year 1992, NABARD started the pilot project of linking SHG'S to credit institutions. **Under this it provides 100 percent refinance to banks for loans extended to SHG'S.**

c) Regulatory activities

As an apex development bank, NABARD shares with RBI, some of the regulatory & supervisory functions in respect of cooperative banks and regional rural banks (RRB'S). They are as following

- Under Banking regulation act 1949, **NABARD undertakes the inspection of RRB'S & Cooperative banks (other than PAC'S)**
- **Any RRB (or) cooperative bank seeking permission of RBI**, for opening branches needs recommendation of NABARD.
- **The state & district central cooperative banks also need an authorization from NABARD** for extending assistance to units outside the cooperative sector & non - credit cooperatives for certain purposes beyond the cut-off limit.